

Task 4, Part 2 – Professional communications to EY Forensic & Integrity Services Team in China

Subject: *Request for Assistance: Investigation into Capital Goods Purchase from XYZ by DEF (ABC Group)*

Email body:

Dear EY Forensics & Integrity Services Team – China,

I hope this message finds you well.

I am writing to seek your collaboration on an internal investigation being conducted for ABC Group, which has engaged EY Forensics & Integrity Services in India to assist with this matter. ABC Group is an existing EY client in the industrial manufacturing sector with operations across Asia.

As part of our internal review, concerns have arisen regarding potential irregularities in a capital goods transaction between DEF (a subsidiary of ABC Group based in India) and a Chinese supplier, XYZ Machinery Co. The allegations involve suspected overbilling, inadequate documentation, and inconsistencies between purchase orders, invoices, and the fixed asset register (FAR). Our team has identified discrepancies suggesting possible manipulation of invoice dates, currency mismatches, and partial credit note application.

To date, we have reviewed a sample of documents including:

- The purchase Order (PO*-002) dated 29-Dec-2023
- An invoice dated 25-Dec-2023 issued prior to the PO
- Asset entries recorded in FAR on 29-Dec*2023
- A credit note issued on 03-Jan-2024 covering only one item

We now require your support to conduct field-level validation and vendor-side inquiries in China. Specifically, we are seeking:

- Verification of invoice authenticity and issue date from XYZ Machinery Co.
- Clarification on whether goods were shipped, delivered, or returned (including shipping records, delivery slips, or packing lists)
- Access to internal communications or records between XYZ and DEF, if available
- Any regulatory disclosures or tax records submitted by the vendor relevant to this transaction

We propose scheduling a virtual coordination meeting this week to align on scope and responsibilities. I am available Wednesday, Thursday, or Friday after 2:00 PM IST, and I am happy to accommodate your availability as needed.

Our objective is to conclude this investigation within the next 2-3 weeks, subject to document availability and stakeholder cooperation. I will circulate a preliminary scope document and call agenda once the meeting time is conformed.

We appreciate your prompt support on this matter and look forward to working closely with your team.

Best regards,

Natascha Martin
Senior Associate
EY India Forensic & Integrity Services team